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The Rescue of Fannie Mae and Freddie Mac – Module C: GSE Credit Facility¹

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Abstract

In 2007 and 2008, the collapse of the subprime mortgage market and the deterioration of the housing market more generally precipitated a crisis at the Federal National Mortgage Association (Fannie Mae) and the Federal Home Loan Mortgage Corporation (Freddie Mac), which together held or guaranteed \$5.3 trillion in mortgage assets. Over the course of two years, both entities suffered high losses and saw their liquidity positions deteriorate as the market perceived their rapid decline. On September 6, 2008, the Federal Housing Finance Agency (FHFA), pursuant to the authority of the Housing and Economic Recovery Act (HERA) of 2008, took Fannie Mae and Freddie Mac into conservatorship as part of a four-part rescue plan designed to prevent their insolvencies as well as the concomitant collapse of the US mortgage market. This case study discusses the establishment of the secured Credit Facility, which functioned as a liquidity backstop for both entities. Despite having gone unused, the facility's existence assured the liquidity of the two entities and coincided with a resurgence in demand for their debt.

¹ This case study is one of seven 2021 Yale Program on Financial Stability (YPFS) case studies that examine in detail the various elements of the government's rescue of the GSEs:

- “The Rescue of Fannie Mae and Freddie Mac – Module A: The Conservatorships” by Daniel Thompson and Rosalind Z. Wiggins.
- “The Rescue of Fannie Mae and Freddie Mac – Module B: The Senior Preferred Stock Purchase Agreements (SPSPAs)” by Daniel Thompson.
- “The Rescue of Fannie Mae and Freddie Mac – Module C: GSE Credit Facility” by Emily Vergara.
- “The Rescue of Fannie Mae and Freddie Mac – Module D: Treasury's GSE MBS Purchase Program” by Michael Zanger-Tishler and Rosalind Z. Wiggins.
- “The Rescue of Fannie Mae and Freddie Mac – Module E: The Housing and Economic Recovery Act of 2008” by Daniel Thompson.
- “The Rescue of Fannie Mae and Freddie Mac – Module F: The Federal Reserve's Large-Scale Asset Purchase (LSAP) Program” by Daniel Thompson and Adam Kulam.
- “The Rescue of Fannie Mae and Freddie Mac – Module Z: Overview” by Rosalind Z. Wiggins, Benjamin Henken, Adam Kulam, Daniel Thompson, and Andrew Metrick.

Cases are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/>.

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Keywords: Credit Facility, Fannie Mae, FHFA, Freddie Mac, GSEs, housing crisis, liquidity, secondary mortgage market, Treasury

GSE Credit Facility

At a Glance

In 2007 and 2008, the collapse of the subprime mortgage market and the deterioration of the housing market more generally precipitated a crisis at the Federal National Mortgage Association (Fannie Mae) and the Federal Home Loan Mortgage Corporation (Freddie Mac), which collectively held or assured \$5.3 trillion in mortgage assets. Over two years, both entities suffered high losses and saw their liquidity positions deteriorate as the market perceived their rapid decline. On September 6, 2008, the Federal Housing Finance Agency (FHFA), pursuant to the authority of the Housing and Economic Recovery Act (HERA) of 2008, put Fannie Mae and Freddie Mac into conservatorship as part of a four-part rescue plan designed to prevent their insolvency as well as the concomitant collapse of the US mortgage market.

Summary of Key Terms	
Purpose:	To equip Fannie Mae and Freddie Mac with a full liquidity backstop should they become unable to fund themselves on the open market
Announcement Date	September 06, 2008
Operational Date	September 07, 2008
Expiration Date	December 31, 2009
Legal Authority	Housing and Economic Recovery Act of July 2008, Section 117
Interest Rate	LIBOR + 50bps
Eligible Collateral	Mortgage-backed securities issued by Fannie Mae and Freddie Mac and FHLB advances
Government Sponsor	US Treasury
Participants	None
Total Credit Extended	\$0

The secured Credit Facility was created to serve as a funding backstop for Fannie Mae, Freddie Mac, and the Federal Home Loan Banks (FHLBs). The facility acted as a channel through which Treasury could make unlimited collateralized short-term loans—as needed—to both entities through December 31, 2009. Treasury funding was harnessed from its accounts at the Federal Reserve Bank of New York (FRBNY), which served in a custodial role during the program’s existence. Eligible collateral included mortgage-backed securities issued by the two entities as well as advances made by the FHLBs. Loans were designed to be short-term, with maturities ranging from seven to 30 days. Treasury charged interest rates equivalent to the London Interbank Offered Rate (LIBOR) of comparable duration plus a premium of 50 basis points.

The Credit Facility expired on December 31, 2009, having gone unused. During the Credit Facility’s lifetime, Fannie Mae and Freddie Mac satisfied their funding requirements using other means, including debt issues on the open market and draws from Treasury pursuant to the senior preferred stock purchase agreements (SPSPAs).

Summary Evaluation

Because it went unused, the Credit Facility has not received as much attention from scholars as have the more prominent features of the government's four-part intervention with respect to Fannie Mae and Freddie Mac. Nonetheless, the Credit Facility's mere presence assured the liquidity of the two entities at a time of extreme market fragility and coincided with a later resurgence in demand for their debt.

GSE Credit Facility: United States Context	
GDP (SAAR, Nominal GDP in LCU converted to USD)	\$14,681.5 billion in 2007 \$14,559.5 billion in 2008 \$14,628.0 billion in 2009
GDP per capita (SAAR, Nominal GDP in LCU converted to USD)	\$47,976 in 2007 \$48,383 in 2008 \$47,100 in 2009
Sovereign credit rating (5-year senior debt)	As of Q4 2007/2008/2009: Fitch: AAA Moody's: Aaa S&P: AAA
Size of banking system	\$9,231.7 billion in total assets in 2007 \$9,938.3 billion in total assets in 2008 \$9,789.1 billion in total assets in 2009
Size of banking system as a percentage of GDP	62.9% in 2007 68.3% in 2008 66.9% in 2009
Size of banking system assets as a percentage of financial system assets	29.0% in 2007 30.5% in 2008 30.3% in 2009
5-bank concentration of banking system	43.9% of total banking assets in 2007 44.9% of total banking assets in 2008 44.3% of total banking assets in 2009
Foreign involvement in banking system	22% of total banking assets in 2007 18% of total banking assets in 2008 19% of total banking assets in 2009
Government ownership of banking system	0% of banks owned by the state in 2008 0% of banks owned by the state in 2009
Existence of deposit insurance	100% insurance on deposits up to \$100,000 in 2007 100% insurance on deposits up to \$250,000 in 2008 100% insurance on deposits up to \$250,000 in 2009
<i>Sources: Bloomberg, World Bank Global Financial Development Database, Federal Deposit Insurance Corporation.</i>	

I. Overview

Background

The Federal National Mortgage Association (Fannie Mae) and the Federal Home Loan Mortgage Corporation (Freddie Mac) are two government-sponsored enterprises (GSEs) that were created to support the secondary mortgage market and to fulfill certain affordable-housing goals (FCIC 2011a, 38-39). They do this by purchasing whole loans from mortgage lenders and compiling them into mortgage-backed securities (MBS), which they then guarantee and sell to investors (FCIC 2011a, 39). The GSEs also retain some of the loans they purchase as portfolio investments (FCIC 2011a, 39). The GSEs raise funds by issuing debt, which, prior to 2008, had been perceived by markets to be a very safe investment; as a result, GSE debt at the time was held by financial institutions and government entities around the world (FCIC 2011a, 309).

By the middle of 2007, issues confined to subprime mortgages had spilled over into the wider US mortgage market, causing an overall contraction in private securitization and an increase in the share of new mortgages purchased by Fannie Mae and Freddie Mac (FCIC 2011b, 311-312). Not long after, the GSEs started to run into serious problems of their own. Starting in late 2007, the two entities began to post huge quarterly losses, with each amassing several billions in losses by the middle of 2008 (FCIC 2011b, 309-310). Moreover, as the market began to perceive the steep decline of the GSEs, investors started to pull back from their debt and capital offerings, while concerns about the GSEs' solvency abounded (FCIC 2011b, 313-316). Compounding these worries was the inordinately high leverage of the GSEs (FCIC 2011b, 309). At the end of 2007, the GSEs were leveraged 75-to-1, holding or assuring \$5.3 trillion of mortgage assets on a collective capital base of only \$70.7 billion (FCIC 2011b, 309).

On September 6, 2008, pursuant to the authority of the Housing and Economic Recovery Act (HERA) of 2008, the Federal Housing Finance Agency (FHFA), in cooperation with the US Treasury and the Federal Reserve, put the GSEs into conservatorship as part of a four-part rescue plan designed to prevent their likely insolvency and the concomitant collapse of the US mortgage market (Treasury 2008b). Other components of the plan were to: (1) enter into senior preferred stock purchase agreements (SPSPAs) with each GSE, (2) establish a secured Credit Facility for each GSE, and (3) purchase their mortgage-backed securities (Treasury 2008b). This case study focuses on the establishment of the GSE Credit Facility.

Program Description

The GSE Credit Facility ("the Credit Facility") was established to provide secured loans—as needed—to Fannie Mae, Freddie Mac, and the 12 Federal Home Loan Banks (FHLBs), which made up the group of government-sponsored enterprises that operated in the US mortgage market (Treasury 2008a). Our primary focus herein is to examine the facility with respect to Fannie Mae and Freddie Mac. Much of the discussion that follows, however, also applies to the FHLBs. Like the GSEs, no FHLB utilized the facility before it expired on December 31, 2009 (Frame et al. 2015, 17).

Under the Credit Facility, Treasury could extend unlimited funding⁴ to the GSEs, although—in keeping with requirements set out by HERA—no loan it issued could mature later than December 31, 2009 (Treasury 2008a). By design, the Credit Facility was unlimited, in effect allowing it to serve as a full liquidity backstop for the GSEs (Treasury 2008b).

The Credit Facility offered only short-term loans, usually with maturities ranging from seven to 30 days (Treasury 2008a). In the interest of the taxpayer, all loans were required to be secured by satisfactory collateral, which Treasury defined as mortgage-backed securities issued by Fannie Mae and Freddie Mac or FHLB advances (Treasury 2008a). Treasury was responsible for setting collateral margins, while FRBNY was responsible for valuing and managing the collateral offered by the GSEs (Treasury 2008a; Treasury 2010, GSE-10).

The Credit Facility charged an interest rate equivalent to the daily London Interbank Offered Rate (LIBOR) plus a premium of 50 basis points, which was meant to protect taxpayers' investment (Treasury 2008a; Treasury 2010, GSE-10). The Treasury Secretary could alter the interest rate charged by the Credit Facility as he or she saw fit (Treasury 2008a).

Treasury funded the Credit Facility using its account at the Federal Reserve Bank of New York (FRBNY), which served in a custodial role during the program's existence (Treasury 2008a). All loan requests were subject to the approval of the Treasury, and the Treasury Secretary held the power to set the terms on individual loans (Treasury 2008a).

Other conditions pertaining to the length and amount of each loan were as follows:

- “The term of a loan may not be extended, but a maturing loan could be replaced with a new loan under the same borrowing procedures as the initial loan.”
- “Loans could be pre-paid with two days' notice, and loans could be called before their scheduled maturity date.”
- “Loan amounts would be based on available collateral” (Treasury 2008a).

Outcomes

The Credit Facility expired on December 31, 2009, having gone unused by both Fannie Mae and Freddie Mac (Treasury Fact Sheet 2008a; Frame et al. 2015, 17). As it turned out, both entities were able to satisfy their liquidity requirements elsewhere on more favorable terms (Fannie Mae 2009, 125-126; Freddie Mac 2009, 126-127).

Even as the Credit Facility went unused, the Treasury remained a primary source of funding for the GSEs. From September 2008 through December 2009, the two entities collectively drew more than \$110 billion from Treasury under the SPSPAs (Thompson 2021, sec. “Program Description”). At the end of 2009, Treasury effectively uncapped Treasury's commitment via the SPSPAs, allowing the government to provide unlimited funding to the

⁴ Funding was subject only to the federal debt ceiling, which was raised by \$800 billion with the enactment of HERA (FCIC 2011b, 316-317).

GSEs from 2010-2012, after which time the funding limit reverted to \$200 billion per GSE plus any amounts it had drawn during that period (Thompson 2021, sec. “Program Description”). This arrangement—made possible by the second amendment to the SPSPAs—was critical to maintaining confidence in the GSEs, as both the Credit Facility and the MBS purchase program were set to expire on December 31 (Thompson 2021, sec. “Program Description”; Treasury 2008b).

II. Key Design Decisions

1. The Credit Facility derived legal authority from the Housing and Economic Recovery Act of 2008.

As the housing correction worsened and the outlook for Fannie Mae and Freddie Mac deteriorated, government officials ramped up efforts to pass legislation to create a new, more powerful GSE regulator with the authority to properly mitigate concerns at the entities and to rescue them, if necessary (FCIC 2011b). Government officials worried that the Office of Federal Housing Enterprise Oversight [OFHEO], then the safety and soundness regulator of the GSEs, had insufficient authority over the two entities and possessed no viable mechanism to rescue the GSEs should they verge on disorderly collapse (FCIC 2011b, 312-318; Frame et al. 2015, p. 18).

On July 30, 2008, in response to pleas from federal financial officials, the US government adopted the Housing and Economic Recovery Act (HERA) (FCIC 2011b, 316-317). In addition to creating a new, more powerful GSE regulator (FHFA) with the authority to impose higher capital standards and to sanction unsafe behavior, HERA also significantly increased the government’s capacity to respond to a crisis (FCIC 2011b, 316-317). More specifically, HERA granted the Treasury the power to act as a financial backstop for the GSEs, subject only to its determination that such an action was necessary to preserve the stability of the mortgage market and the financial system more generally (HERA).

After making such a determination, Treasury could purchase an unlimited amount of the GSEs’ capital securities or debt, so long as such purchases took place before December 31, 2009, when Treasury’s authority to purchase these instruments was set to expire (Treasury 2008b). In September 2008, Treasury established the Credit Facility, entered into the SPSPAs, and launched the GSE MBS purchase program pursuant to the new funding authority granted by HERA (Treasury 2008b).

2. The Credit Facility constituted one part of a four-part rescue plan for Fannie Mae and Freddie Mac.

On September 7, 2008, Treasury and the FHFA announced a four-part rescue plan designed to prevent the insolvencies of Fannie Mae and Freddie Mac as well as the parallel collapse of the mortgage market, consisting of (1) placing the two GSEs into conservatorships, (2) entering into the SPSPAs, (3) establishing the Credit Facility for each entity, and (4) launching the Treasury GSE MBS purchase program (Treasury 2008b).

The rescue plan was designed such that each component addressed a particular set of constraints confronting Fannie Mae and Freddie Mac (Treasury 2008b). The role of the Credit Facility was to provide a liquidity backstop for the GSEs, ensuring their access to stable funding should demand for their debt securities take time to recover (Treasury 2008b).

3. Each GSE could borrow an unlimited amount through the Credit Facility.

Unlike their standing lines of credit from Treasury—which afforded each GSE a maximum of \$2.25 billion—the Credit Facility offered the GSEs the opportunity to borrow an unlimited amount from Treasury, although—in keeping with requirements set by HERA—this funding could not extend past December 31, 2009 (Treasury 2007; Treasury 2008b). By design, the Credit Facility was unlimited, in effect serving as a full liquidity backstop for the GSEs during its lifetime (Treasury 2008b). Although the government never explicitly stated how much it realistically would have committed to the GSEs, HERA raised the federal debt limit by \$800 billion (FCIC 2011b, 317).

4. Treasury charged each GSE a penalty rate on all loans.

The initial interest rate on loans was set at LIBOR of a comparable duration plus a premium of 50 basis points (Treasury 2008a). The rate was set at the discretion of Secretary Paulson consistent with the credit line being “an ultimate liquidity backstop” and was intended to protect the taxpayers (Treasury 2008a; Treasury 2008b, 3). As a result, the GSEs were incentivized to obtain funding elsewhere, if available. As it turned out, the GSEs were able to satisfy their funding requirements elsewhere on more favorable terms, and thus never utilized the Credit Facility (Fannie Mae 2009, 125-126; Freddie Mac 2009, 126-127).

5. The Credit Facility was designed to offer only short-term loans.

Under the Credit Facility, loans could be extended for terms ranging from seven to 30 days (Treasury 2008a). The creation of a short-term lending facility reflected Treasury’s attempt to address the short-term funding constraints experienced by the GSEs (Treasury 2010, GSE-3). In addition, the Credit Facility complemented rather than overlapped with funding available to the GSEs pursuant to the SPSPAs (Treasury 2008b). At the same time, shorter loan terms also functioned to better protect the taxpayer against possible instability (Treasury 2010, GSE-3).

6. Satisfactory collateral was defined as agency mortgage-backed securities issued by Fannie Mae and Freddie Mac as well as FHLB advances.

All loans extended through the facility were required to be secured by satisfactory collateral, which Treasury defined only as agency mortgage-backed securities and FHLB advances (Treasury 2008a). As of June 30, 2008, the GSEs collectively held more than \$600 billion of their own securities, thus making the Credit Facility a viable source of substantial funding, if

needed⁵ (Fannie Mae 2008, 91; Freddie Mac 2008, 33). Treasury was responsible for setting collateral margins on loans, while the Federal Reserve Bank of New York was responsible for valuing and managing the collateral submitted by each GSE. Treasury viewed haircuts to collateral as a measure to protect taxpayers from the risk of lending to potentially unstable firms (Treasury 2008a; Treasury 2010, GSE-3).

III. Evaluation

It is difficult to evaluate the isolated impact of the Credit Facility, as it was just one part of a multifaceted rescue plan for the GSEs (Treasury 2008b). Overall, the rescue effort was designed to prevent the destabilizing insolvency of the GSEs and to restore their ability to fund themselves in the open market (Treasury 2008b). From November 2008 to March 2012, the GSEs collectively received \$187.5 billion in funding from the federal government, all of which they received via the SPSPAs (Thompson 2021, sec. “Outcomes”).

The Credit Facility expired on December 31, 2009, having gone unused (Fannie Mae 2009, 28; Freddie Mac 2009, 6). During fiscal year 2009, demand revived for Fannie Mae and Freddie Mac debt securities, especially compared with demand during the previous year (Fannie Mae 2009, 14; Freddie Mac 2009, 130). During fiscal year 2009, Fannie Mae issued nearly \$1.7 trillion in gross short- and long-term debt securities, while Freddie Mac issued nearly \$1 trillion (Fannie Mae 2009, 127; Freddie Mac 2009, 130). The firms have credited the government rescue—not only of themselves but also of the broader market—with helping to restore confidence in them as well as within markets for their debt securities (Fannie Mae 2009, 127-128; Freddie Mac 2009, 129).

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⁵ This figure accounts only for securities of their own held by Fannie Mae and Freddie Mac, and not each other's.

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V. Key Program Documents

Summary of Program

“Fact Sheet: Government Sponsored Enterprise Credit Facility.” (Treasury 2008a) – *Document that describes the framework of the Credit Facility.*

<https://ypfs.som.yale.edu/library/fact-sheet-government-sponsored-enterprise-credit-facility>

“Fiscal Year 2010 Congressional Justification: Housing Government Sponsored Enterprise Programs” – *Treasury document describing the Credit Facility and stating that it was not used.*

<https://ypfs.som.yale.edu/library/fy-2010-congressional-justification-housing-government-sponsored-enterprise-programs>

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Housing and Economic Recovery Act of 2008 (HERA), sec. 1117, July 30, 2008 – *The law authorizing the FHFA to place the GSEs in conservatorship in 2008.*

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